

Justification for Sole Source Reliance on R.S. MEANS Cost Data Software Utilization – Supporting Four JOCs & One Service Contract

To: Contracting Officer **From:** Travis Fowler, PWD Representative **Date:** March 09, 2026, **Subject:** Justification for Sole Source Reliance on R.S. MEANS Cost Data Software for Task Order Pricing – Supporting Four JOCs & One Service Contract – Enhanced Justification

1. Introduction:

This justification supports the continued sole source reliance on R.S. MEANS Cost Data software for pricing all task orders issued under the four existing Job Order Contracts (JOCs) and one associated service contract available to the Public Works Division (PWD). This is not a preference, but a fundamental requirement to maintain the integrity of the pre-priced cost structure established within these contracts and to ensure their intended functionality, efficiency, and cost-effectiveness. Without consistent utilization of the same cost data source, these contracts cannot operate as designed, potentially leading to significant cost overruns, disputes, and delays.

2. Background & Contractual Basis:

All four JOCs and the related service contract were awarded with the explicit understanding that pricing would be derived from a standardized, publicly available cost database – R.S. MEANS Cost Data software. The contract language is unambiguous: “The offeror’s coefficient is a multiplier that represents costs (generally indirect costs) to be applied to the work item unit price information from the R. S. MEANS Cost Data software.” This isn’t simply a referenced standard; it’s the *foundation* of the pricing mechanism. The contracts mandate the use of the current edition of the MEANS Cost Data software, including all quarterly updates, for pricing throughout the contract period. Specifically, the following volumes are to be utilized: Facilities Construction Cost Data, Repair and Remodeling Cost Data, Mechanical Cost Data, Electrical Cost Data, Plumbing Cost Data, Building Construction Cost Data, Heavy Construction Cost Data, Site Work and Landscape Cost Data, and Interior Cost Data. This detailed specification demonstrates a deliberate and informed decision to leverage a widely recognized and consistently updated cost resource.

3. Justification for Sole Source Reliance – Detailed Explanation:

The pre-priced nature of these contracts, inextricably linked to the R.S. MEANS Cost Data software, necessitates consistent use of this specific data source. Any deviation from utilizing the *same* version of the R.S. MEANS Cost Data software (including the applicable quarterly updates at the time of RFP/modification) would render pricing inconsistent with the established contract framework, effectively nullifying the pre-negotiated rates and creating an unmanageable pricing environment.

Consider the implications: R.S. MEANS data is regularly updated to reflect fluctuations in material costs, labor rates, and equipment pricing. Using different versions – even differing by a single quarterly update – introduces significant variability. This variability makes it impossible to accurately compare bids, assess the fairness of proposed pricing, and ensure the PWD is receiving best value.

Critically, without access to and utilization of the identical cost estimating software, our technical team would be unable to effectively validate contractor pricing proposals across *all* contracts. The core benefit of these contracts – rapid task order issuance based on pre-negotiated pricing – is predicated on our ability to quickly and confidently assess the reasonableness of submitted costs. We would lose this capability, and effective negotiation would become impossible. Attempting to compare pricing based on different cost data sources would be akin to comparing apples and oranges, rendering a fair and accurate evaluation unattainable and undermining the core principles of these contracts. This would necessitate a full cost analysis for *every* task order, negating the time and cost savings that motivated the use of JOCs in the first place.

The contract clearly places the responsibility on the offeror to purchase and maintain their own current edition of the MEANS Cost Data software and install quarterly updates. This reinforces the understanding that consistent pricing relies on a common data source and demonstrates the contractors' prior commitment to this methodology.

4. Market Research & Alternatives Considered:

While multiple contractors possess the capability to perform the required work, the fundamental basis for pricing under these contracts is the R.S. MEANS data. We have considered the feasibility of soliciting bids from other qualified contractors who do not utilize this standardized data source. However, this approach is demonstrably impractical and detrimental. Their proposals would not be directly comparable, requiring extensive and costly analysis to attempt to reconcile differing cost bases. This would necessitate a significantly more time-consuming and complex evaluation process, defeating the purpose of utilizing these pre-negotiated contract vehicles and introducing unacceptable delays in project execution. Furthermore, attempting to "translate" their pricing into the R.S. MEANS framework would be subjective and prone to dispute.

Alternatives like using other cost estimating databases are not viable. These databases, while reputable, utilize different methodologies, data sources, and levels of granularity. Direct comparison is impossible, and attempting to reconcile the differences would be a substantial administrative burden.

5. Impact of Non-Compliance & Risk Mitigation:

Failure to enforce consistent use of R.S. MEANS data would expose the PWD to significant risks, including:

- **Increased Costs:** Inability to accurately assess pricing leading to potential overpayment.
- **Contract Disputes:** Disagreements over pricing due to differing cost bases.
- **Project Delays:** Extended review and negotiation periods.
- **Loss of Contract Benefits:** Undermining the efficiency and cost savings achieved through the JOC framework.

6. Conclusion & Recommendation:

Based on the unambiguous contractual language, the inherent design of these contracts, and a thorough assessment of alternatives, continued sole source reliance on R.S. MEANS Cost Data software is not merely justified, but *essential* for the successful administration and execution of these contracts. This approach ensures a fair, transparent, and efficient procurement process, leveraging the benefits of the pre-negotiated contract framework and protecting the PWD's financial interests.

I strongly recommend approval of this justification and formal confirmation that all task order pricing under these contracts will continue to be based on the current R.S. MEANS Cost Data software and applicable quarterly updates.